

MARKET ANALYSIS

34,564 SF of Leasing at 711 Third: The Lease Duration Is the Signal, Not the Square Footage

Fidelity's 10-year term and Ackman Ziff's renewal reveal what capital is underwriting: time, not location.

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A source-grounded Light Tower Insight. The complete note follows.

A 10-year lease for 19,966 square feet sounds like a vote of confidence in Midtown office. It is not. It is a vote of confidence in the specific basis, the specific sponsor, and the specific amount of time a tenant is willing to lock into a market that still has not fully repriced.

Fidelity National Title Insurance did not just sign a lease at SL Green's 711 Third Avenue. It signed a 10-year term. That duration is the most revealing number in the deal. A tenant that commits to a decade in a single location is making a different kind of underwriting decision than one signing a five-year renewal. It is betting that the building, the neighborhood, and the landlord will all remain viable through a full cycle. That is not a casual bet.

The second deal at the building reinforces the same point. Ackman Ziff, a real estate capital advisory firm that knows the market as well as any tenant, renewed for 14,598 square feet for eight and a half years. It moved into 711 Third in 2015 on a 10-year lease. It downsized at some point from 19,025 square feet. Now it is staying for nearly another decade. That is not a tenant testing the waters. That is a tenant that has already tested the waters and decided the building works.

SL Green did not disclose the asking rent. The average Midtown asking rent was \$84.99 per square foot in the second quarter, per Colliers. But the rent is not the story. The story is the term. A 10-year lease at an undisclosed rent tells the market that the tenant and landlord found a number both could live with for a long time. That is a different signal than a short-term deal at a headline rent designed to reset the comps.

The underwriting margin here is time. A landlord that signs a 10-year lease is locking in cash flow for a decade. A tenant that signs a 10-year lease is locking in occupancy cost for a decade. Both sides are accepting that the market will change over that period. The question is whether the rent they agreed to today will look smart or painful in year seven.

For SL Green, the two deals total 34,564 square feet. That is not a transformative number for a 20-story building. But it is a meaningful number for a landlord trying to demonstrate that its assets can attract and retain creditworthy tenants. Fidelity is an insurance giant. Ackman Ziff is a capital

markets firm that understands real estate risk. Both are sophisticated occupiers. Their willingness to commit to long terms at 711 Third is a signal that the building has passed a real-world underwriting test.

The building itself is a 1955 vintage asset in Midtown East, one block east of Grand Central. It is not a trophy tower. It is a functional office building with a strong sponsor and a location that connects to transit. That combination is increasingly what tenants are underwriting: not the flashiest lobby, but the most reliable operating partner and the most defensible location.

What the market should test next is whether this pattern holds across other Midtown buildings with similar profiles. If tenants are signing 10-year leases at 711 Third, what are they signing at 750 Third, or at 245 Park? The answer will tell the market whether the lease duration signal is building-specific or submarket-wide.

The other question is what happens to the buildings that cannot attract long-term commitments. If tenants are willing to lock in for a decade only at assets with strong sponsorship and transit access, the rest of the market will be left with shorter terms, higher vacancy risk, and a harder time financing. That is the bifurcation that matters: not Class A versus Class B, but buildings that can command time versus buildings that cannot.

Fidelity's 10-year lease is not proof that Midtown office is back. It is proof that a specific building with a specific sponsor can still attract a tenant willing to bet on a decade. That is a narrower signal than the headline suggests, but it is a real one. The market should watch which buildings get the next 10-year lease, and which get a three-year renewal with an out clause.

SOURCES

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<https://commercialobserver.com/2026/07/fidelity-lease-sl-green-711-third-avenue/>

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